

LNG Shipping - Annual Report 2024

Jan 13, 2025

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Summary

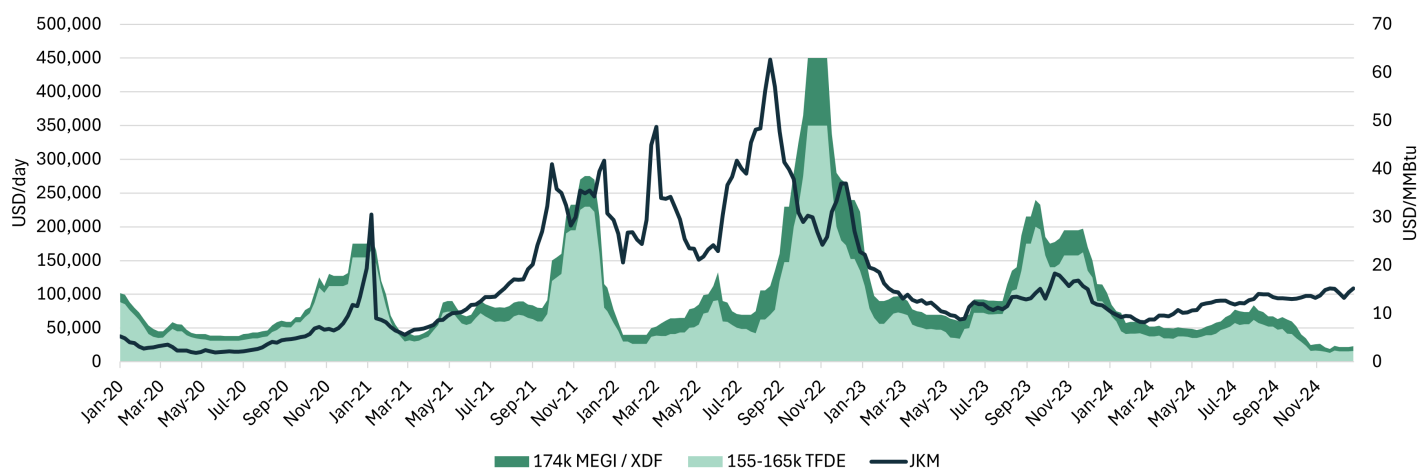
Spot charter rates have experienced a consistent decline throughout the year. The typical post-winter drop characterized the first quarter, while the second quarter remained flat at relatively low rates compared to previous years. The end of the second quarter into the beginning of the third quarter was initially seen as the first signs of the winter market, as LNG was drawn East by the opening of the inter-basin arbitrage, which, despite long availability lists, concentrated tonnage in the Pacific basin. However, this brief uptick, which rebalanced within a few weeks, remains the only indication of a 2024/2025 "winter market", despite relatively high cargo values and a cold start to the winter in Europe.

While this situation may appear surprising, especially given the long distances resulting from the avoidance of both the Suez and Panama canals, the fundamentals show a market with an ample supply of ships. The fleet has grown by approximately 60 newbuilds, with seven vessels sent for demolition. This growth, coupled with minimal growth in LNG volumes and no opportunities for floating cargoes, has led to an oversupply from previous years, now reflected in availability lists and rates. The willingness for disponent owners to sublet tonnage has provided charterers with numerous options, but resulted in further downward pressure on rates. The year has been marked by a lot of spot activity, with the number of spot fixtures increasing by more than 70% year-on-year, while the number of term fixtures has decreased.

On the volume side, ENI's Congo FLNG and New Fortress Energy's Fast LNG Altamira have each loaded six cargoes, some of which were partial. Although commissioning cargoes were expected from Corpus Christi Stage 3 and Plaquemines towards the end of the year, this has been postponed to early 2025. Despite limited volumes from new projects, there have been fewer outages, and production during the summer months has been higher than in 2023. However, it is evident that the increase in tonne-miles is primarily due to the distances rather than the volume of cargo.

Ordering activity this year has been robust, primarily driven by the final orders of vessels for the Qatar North Field Expansion Phase 2. However, speculative ordering has slowed due to the muted market and persistently high newbuild prices. The orderbook remains substantial, representing 46% of the trading fleet, with 321 vessels scheduled for delivery between 2025 and 2031. Shipyards are now largely booked until the end of 2027, with potential fleet growth possible from 2028 onwards. While seven vessels being sold for demolition is not substantial given the muted market, there was still a strong signal when four vessels aged 24 years were recently sold for demolition when LNGCs historically have been scrapped at 35-40 years.

Spot charter rates and JKM



Source: JKM from S&P Global Platts

Charter Rates

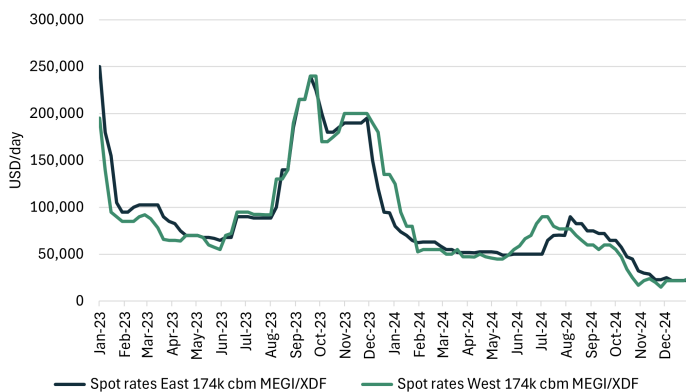
Charter rates continued their descent through Q4, bringing the 2024 average spot charter rates to the lowest in our records for two-strokes, and the lowest since 2016 for TFDEs and steamers. The two-stroke yearly average was \$55,000 per day, in stark contrast to \$125,000 in 2023 and \$155,000 in 2022. November, which is typically the peak of the spot market, saw two-stroke spot charter rates in the low \$20,000s, a mere 12% of the levels in the same month in 2023. The spread between spot rates in the East and West has been close to zero in the last few weeks, but earlier in Q4, there was a slight premium in the East, as a closed arbitrage and high numbers of inter-Atlantic cargoes have kept vessels in the West.

One-year charter rates saw some slight improvements mid-year, as focus on covering winter demand increased. However, this did not last, and from the end of Q3, one-year rates have dropped significantly. This is due to the market being flooded with available ships, and broad expectation that this trend will continue well into 2025. Currently, a two-stroke can be secured for a year at less than \$40,000 per day.

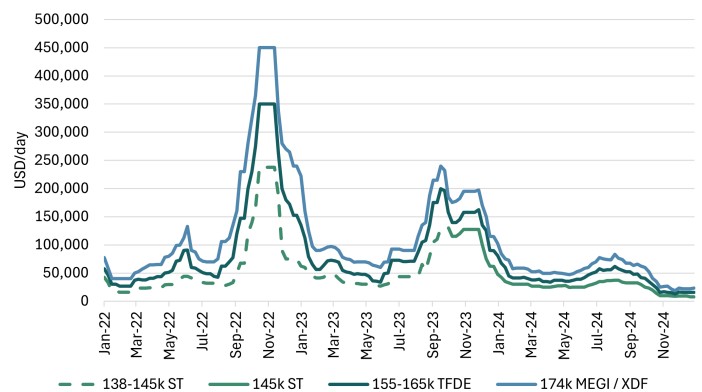
For longer-term charters (three years and up), there have been no rate increases throughout the year. With more project delays and the impact of newbuilds hitting the market at a fast pace, the longer-term outlook has been reflected in the rates. While sentiment matters, it is mainly the lower interest rates and slight reductions in newbuild prices that have driven the long-term ten-year rates down. Longer-term rates, which provide coverage into 2028, are still at a significant premium to shorter-term rates, which mainly provide coverage for a period expected to be oversupplied. Currently, we quote a three-year deal at \$65,000, a five-year deal at \$82,000, and a seven-year deal at \$91,000 per day.

Availability has been higher than in previous years for the majority of 2024, with a good mix of ship technologies. While most of the two-stroke availability has been from subletters, who either went long during the unprecedented times in previous years or are still waiting for delayed term volumes, there is increasing availability of steamers from independent owners, which have redelivered from their long-term charters.

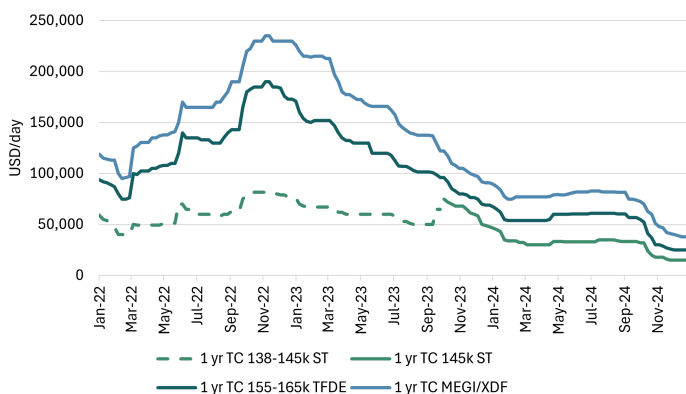
Two-stroke spot charter rates (East/West)



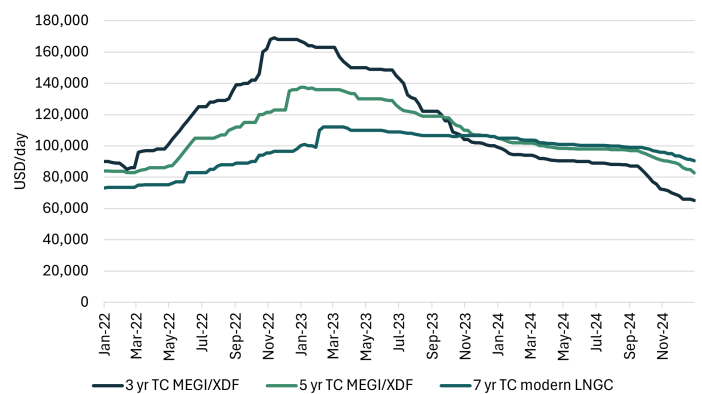
Average spot charter rates



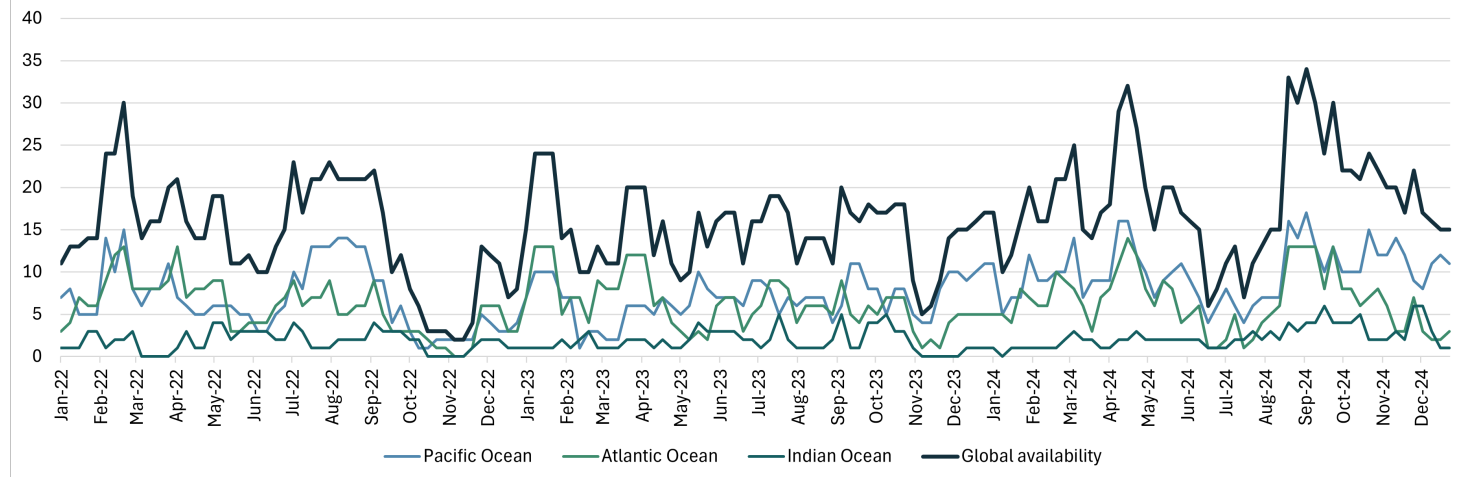
1-year charter rates



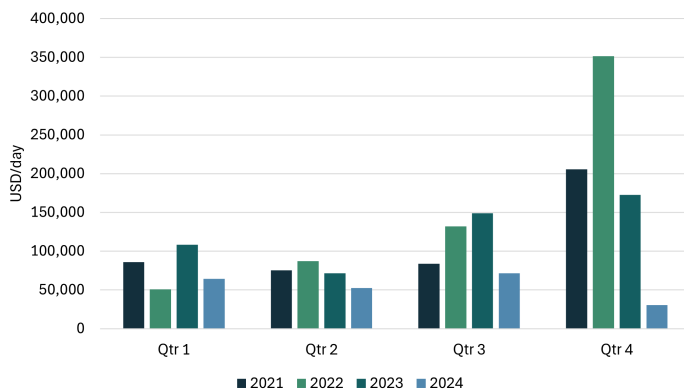
Term charter rates (two-stroke)



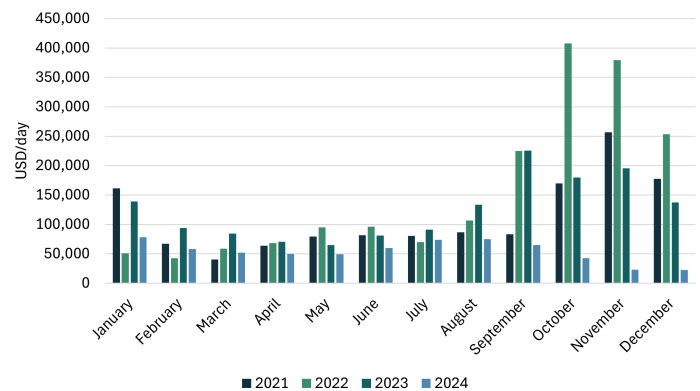
Prompt LNGC availability



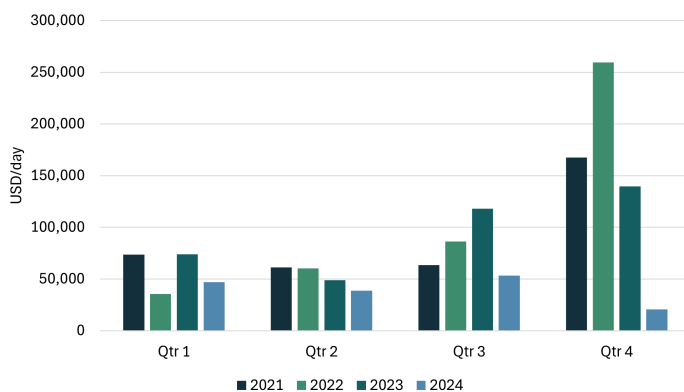
Quarterly spot charter rates (two-stroke)



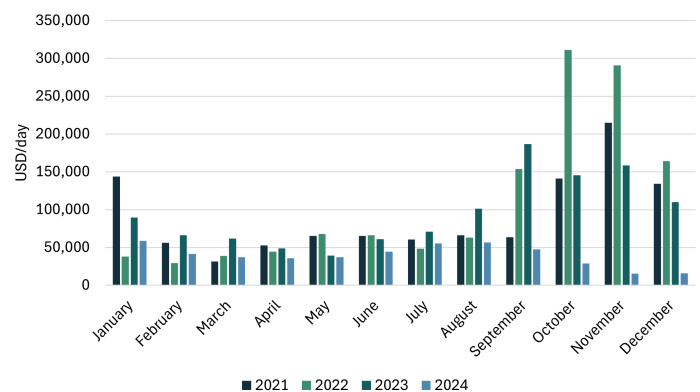
Monthly spot charter rates (two-stroke)



Quarterly spot charter rates (TFDE)



Monthly spot charter rates (TFDE)



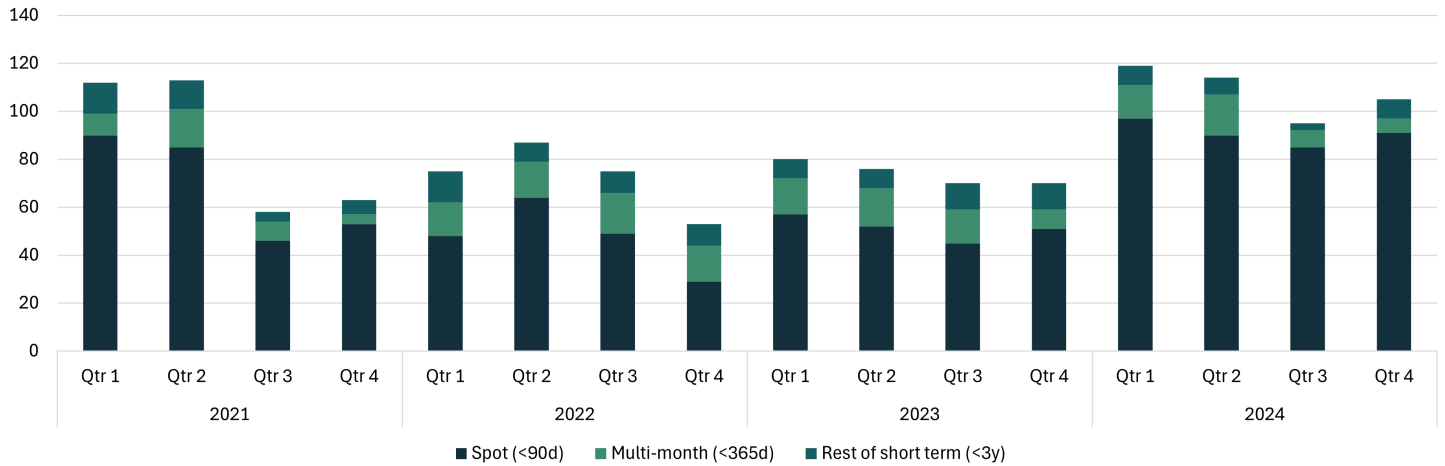
Chartering Activity

In Q4, fixing activity increased compared to Q3, resulting in more than 360 spot fixtures throughout the year, an increase of nearly 80% from last year's approximate 200 spot fixtures. Despite the significant rise in the number of spot fixtures, the number of spot fixed days only increased by 34%, indicating shorter spot periods (defined as anything under 90 days). While the timing for charterers to secure term tonnage has been favorable, interest has been limited. Consequently, the number of multi-month fixtures decreased by 17% year-on-year, and the number of 1-3 year deals declined by nearly 30%. However, Q4 did see some activity in 1-year deals, with six fixtures concluded. Notably, five out of these six were for two-strokes, and on average, 55% of 1-year deals for 2024 were for two-strokes.

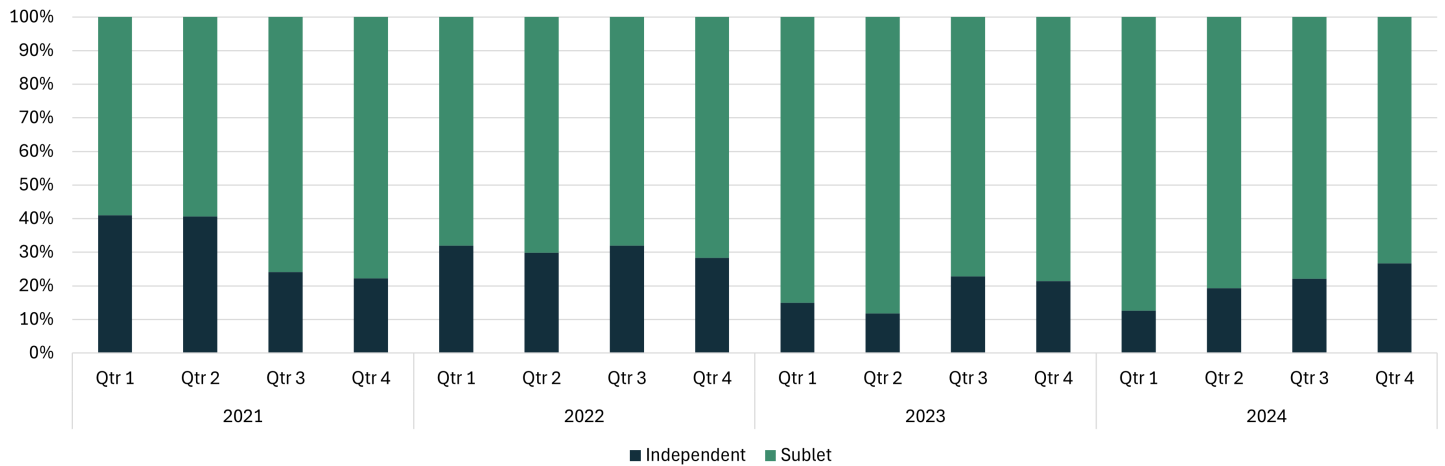
The share of short-term fixtures involving sublets was 73% in Q4, slightly down from the Q1-Q3 average of 82%. Avail-

ability clearly remains predominantly with the subletters rather than independent owners. Most availability from independent owners has been in the form of small steamers, which have proven difficult to charter out.

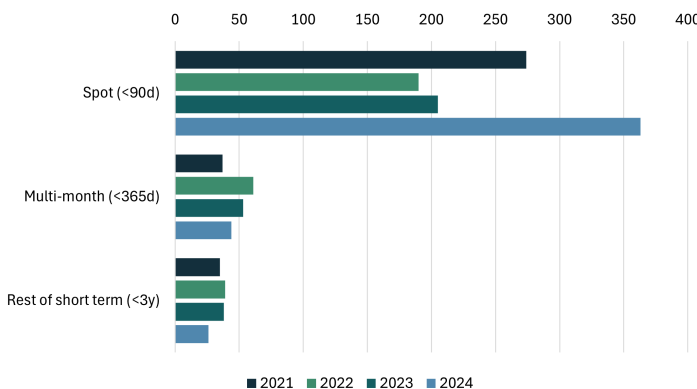
Short-term fixture activity (< 3 years)



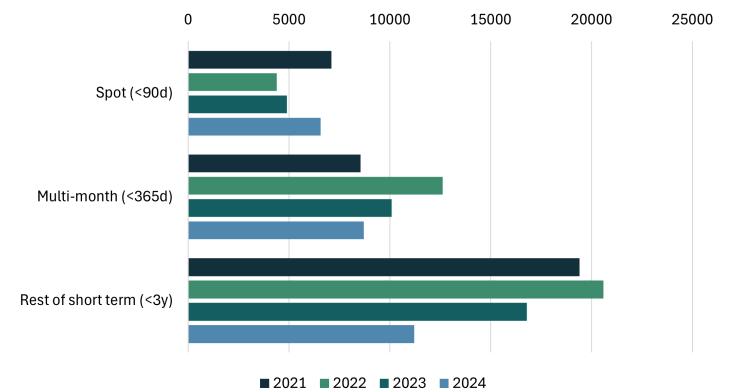
Short term fixtures by sublet vs independent owners



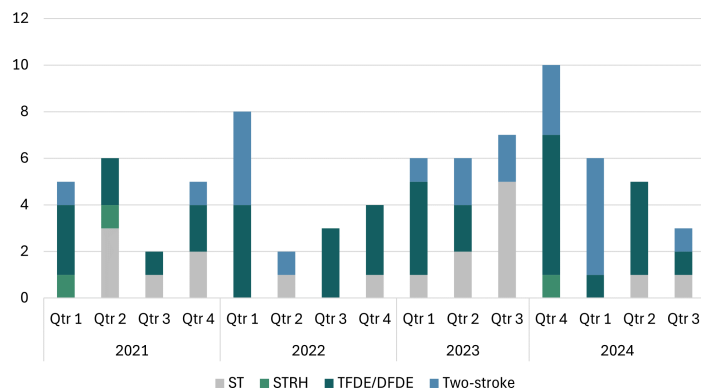
Short-term fixtures yearly (count)



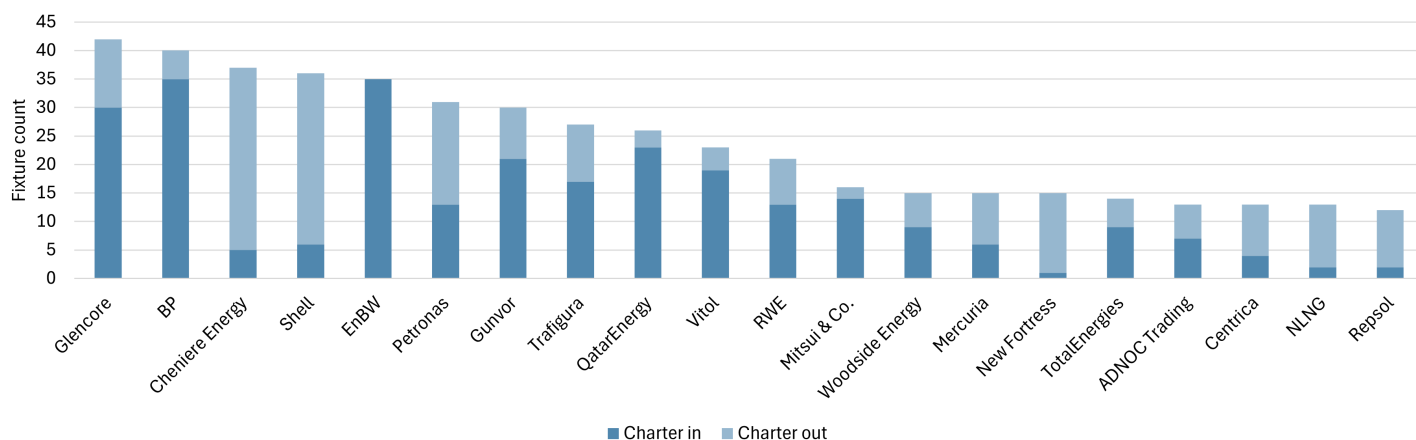
Short-term fixtures yearly (fixed days)



1-year term deals



Top companies Q1-Q3 2024 (< 3 years)



Trade Flows

A new record was reached for LNG loadings in Q4, with 107 MT LNG loaded. This is up nearly 2 MT from Q4 the year before, and is mainly driven by December where a record high 38 MT were loaded. It would be great news if this increase was due to commissioning of new projects, but it is rather driven by high production levels at existing plants. The total loaded volumes in 2024 ended at 414 MT, up 2 MT from the year before.

United States was the largest exporter in 2024, with 87 MT and more than 5 MT more than the runner-up, Australia. Qatar exported slightly less than the year before, with a 0.7 MT reduction, while both Australia and the United States reached record production levels. The top three importers remain the same; China, Japan and South Korea. China's imports reached 76 MT, which is significantly up from the previous two years, but still more than 3 MT less than the 2021 benchmark, which remains the record. In terms of year-on-year increases in LNG imports, India is in second place after China, and both have close to 5 MT in year-on-year increases. At the other end of the scale, Spain and United Kingdom significantly decreased imports, with 5 MT and 7 MT reductions respectively. If looking at percentage increases, instead of absolute ones, Egypt has grown the most, by far, with 37% year on year increases. This is a result of lower domestic production and pipeline imports from the Middle East, turning the country to a net LNG importer during summer months (it is usually the case that Egypt stops exporting LNG during summer) and tendering for numerous cargoes and FSRUs.

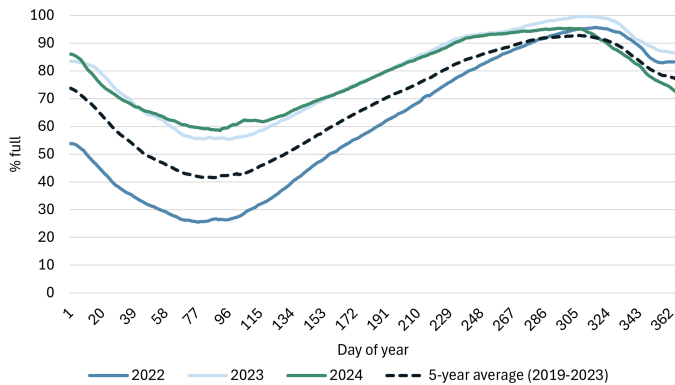
A cold start to the European winter resulted in high storage withdrawals, and an increase in European LNG imports. Storage levels ended the year at 73% full, 14% lower than the year before, and 5% lower than the 5-year average. The majority of US LNG has thus gone to Europe, with the yearly average at 51% of the cargoes, and the Q4 level at 54%. This is significantly up from Q3, which was the first quarter in some time in which more than 50% of US cargoes went East, and a sustained open inter-basin arbitrage was observed. While the Suez canal is not used by LNGCs, the destination of Middle Eastern cargoes remains interesting. Around 13% of Qatar cargoes went to Europe in 2024, down from 17% in

2023, countering some of the potential effect of the longer voyages via Cape of Good Hope. However, Q4 increased to 13%, from only 10% in Q3 when prices were higher in Asia.

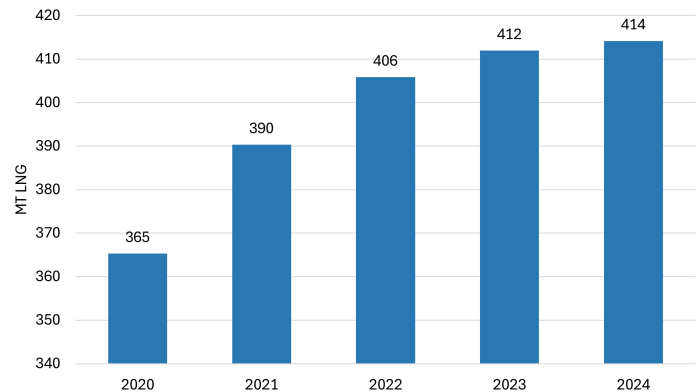
Despite the increase in inter-basin trade towards the end of the year, distances remain long due to the slim-to-no use of either of the canals. Due to the long distances, tonne-miles have been high throughout the entire year, at higher levels than the previous year for every month except November, when both production and distances dropped. With record high production levels in December, tonne-miles then reached new records, but despite this, fleet utilization is still lower than has been seen in December in previous years. This is explained by the rapid fleet growth, which has increased the fleet capacity more than enough to absorb the tonne-mile growth. However, despite what the rates may show, the long distances have kept tonne-miles high enough that on average, the fleet utilization in 2024 was marginally higher than previous years. It is therefore clear that the oversupply from previous years, which was not really reflected in the charter rates due to cargo values and the focus on energy security, has now made an impact on the market - it is this overhanging oversupply in addition to the 2024 fleet additions that has driven rates down.

Average speeds have actually been slightly higher than in 2023, which compensates for the higher tonne-miles. However, speeds are still well below what they were in for example 2021, and once again an indication of shipping oversupply, where plenty more shipping capacity could be available by speeding up.

EU storage levels

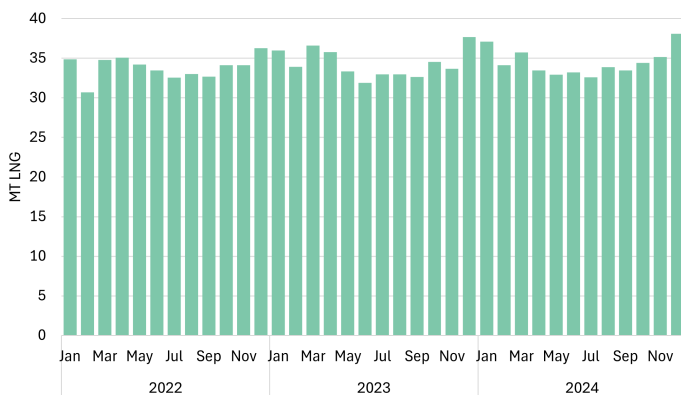


Yearly loaded LNG

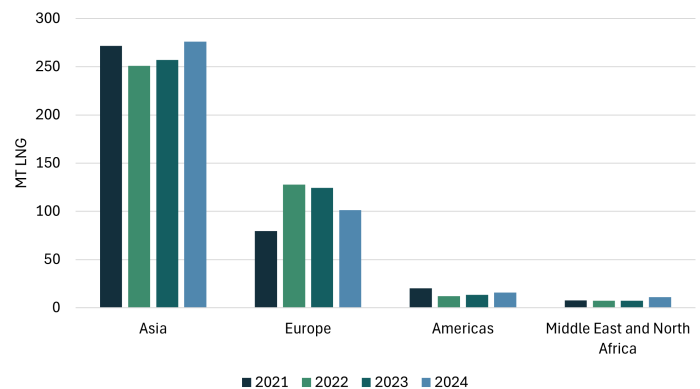


Source: left: AGSI, right: Vortexa

Monthly loaded LNG

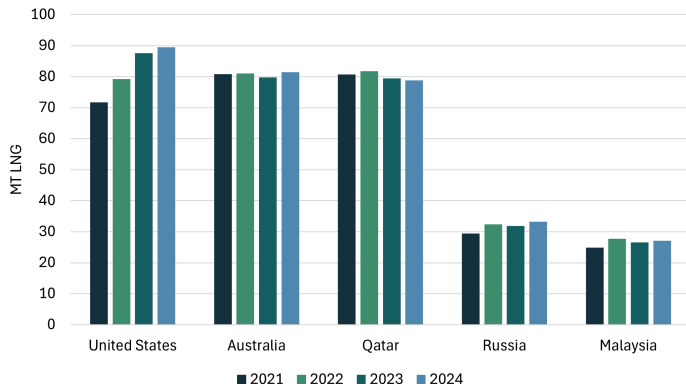


2024 imports by region

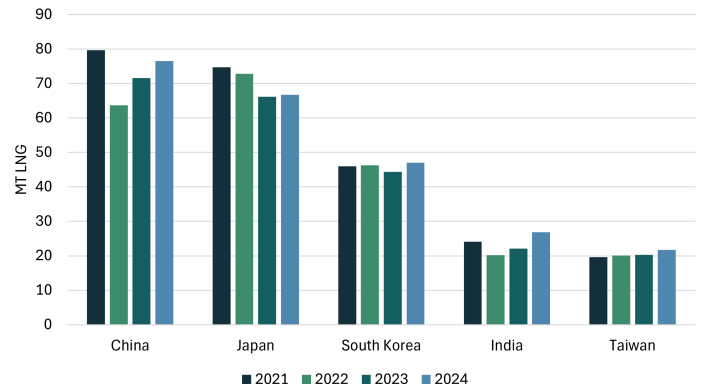


Source: Vortexa

Yearly exports of top 5 exporting markets

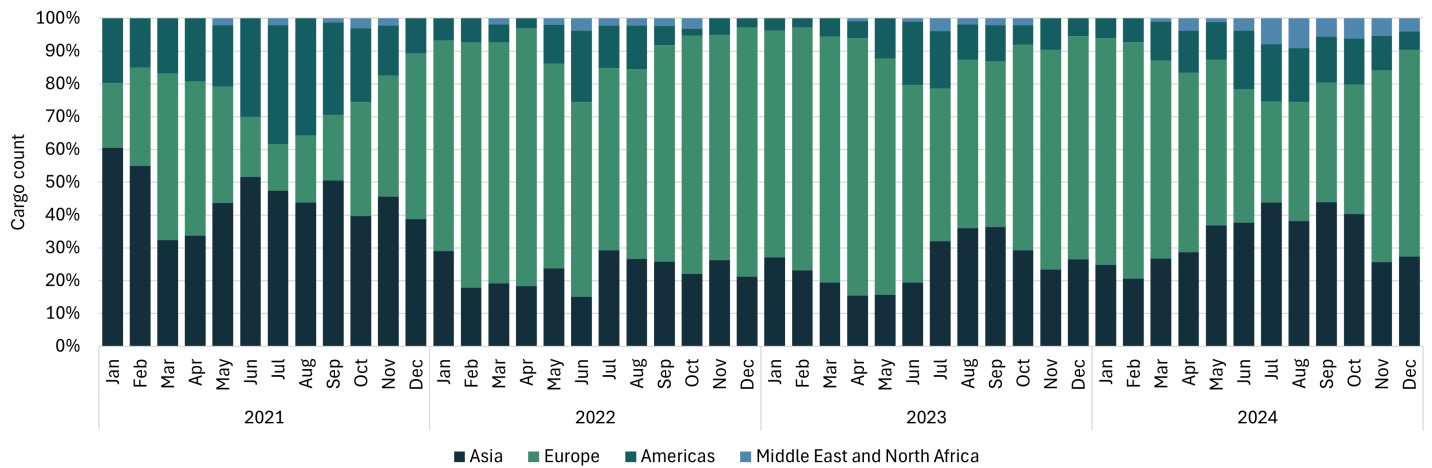


Yearly imports of top 5 importing markets



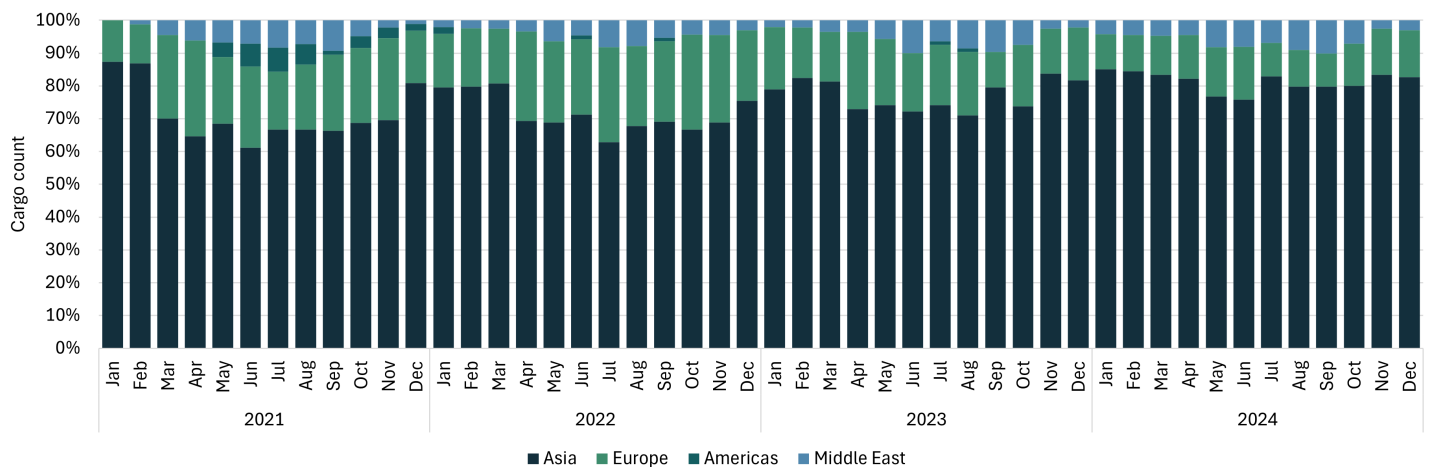
Source: Vortexa

Destination of US LNG



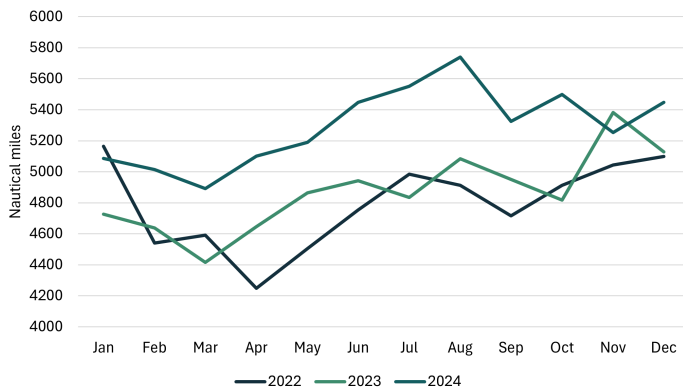
Source: Vortexa

Destination of Qatar LNG

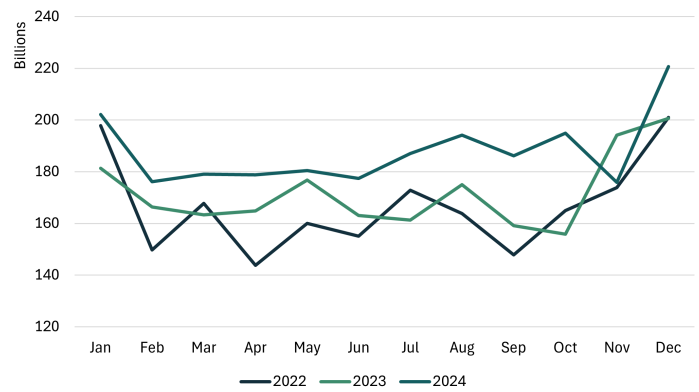


Source: Vortexa

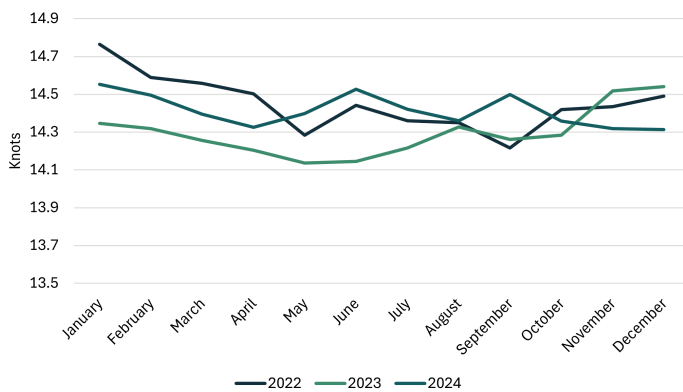
Average fleet distance (laden)



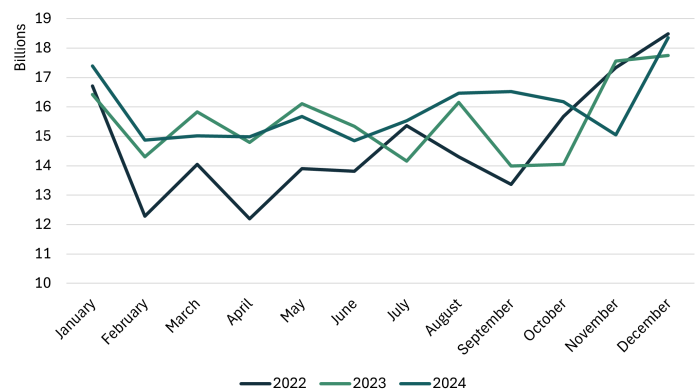
Tonne-miles



Average fleet speed



Tonne-time



Source: Vortexa

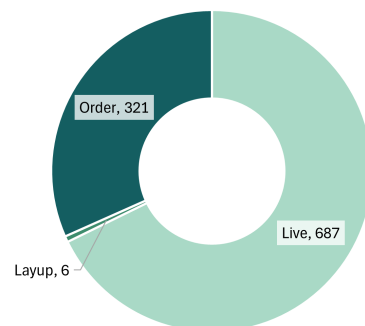
LNGC Fleet

The fleet experienced a record growth of 63 ships in 2024. The delivery ramp-up throughout the year was significant, with 10 deliveries in Q1 increasing to 22 in Q4. With seven vessels sold for demolition and one heading to layup, the "trading" LNGC fleet now stands at 687. We use the term "trading" because we observe 10-15 old steamers idling, many of which are likely to head to layup or a scrap yard next.

In 2024, 84 orders were placed, an increase of four from the previous year. More than 60% of these orders were for the Qatar North Field Expansion, and only four speculative orders were placed due to high prices and a muted market.

Two-strokes now constitute 39% of the fleet, while steamers make up 31%. More than half of the fleet is younger than 9 years old, making the fleet relatively young on average, despite the presence of 21 vessels older than 30 years and 105 vessels older than 20 years.

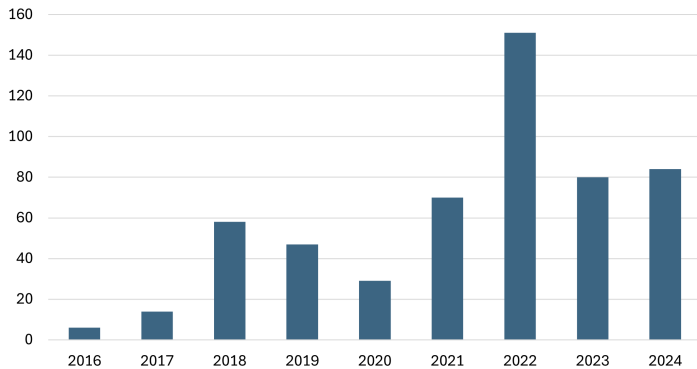
LNGC fleet by status



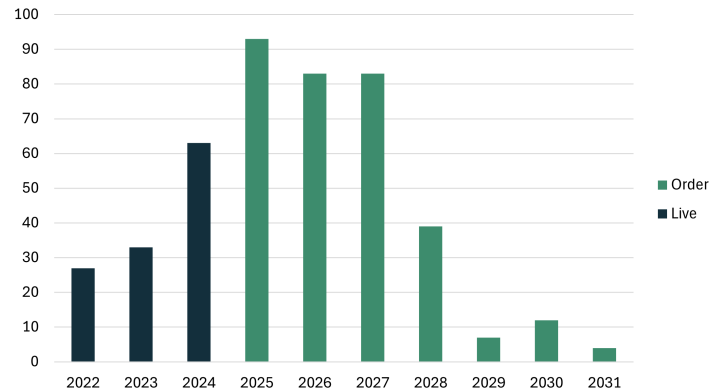
The first "new" Chinese yard delivered its first LNGC, with AI Shelila delivered to ADNOC from Jiangnan in November. This marks the yard's first large-scale LNGC, with seven more in the orderbook. Dalian is also scheduled to deliver its first large-scale LNGCs in the second half of 2025. Hudong-Zhonghua is the only yard that has taken orders for delivery in 2030 and beyond, currently having 33 vessels on order for the Qatar North Field Expansion (three already delivered), with deliveries extending well into 2031.

In the coming year, the newbuild deliveries scheduled amount to 93 vessels, although nine of these are for Arctic LNG-2, where several were pushed to 2025 as deliveries in 2024 did not occur. It is highly unlikely that these vessels will hit the market in 2025 either, so 84 newbuild deliveries may be a more realistic expectation. Twenty-six vessels in the orderbook are available/charter-free, with deliveries in 2025 (two), 2026 (12), and 2027 (12).

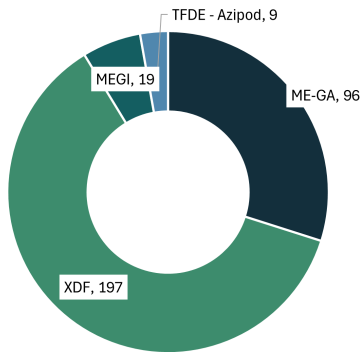
LNGC orders



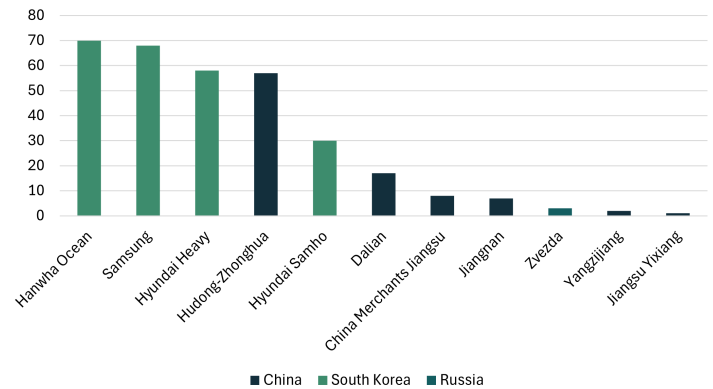
LNGC deliveries



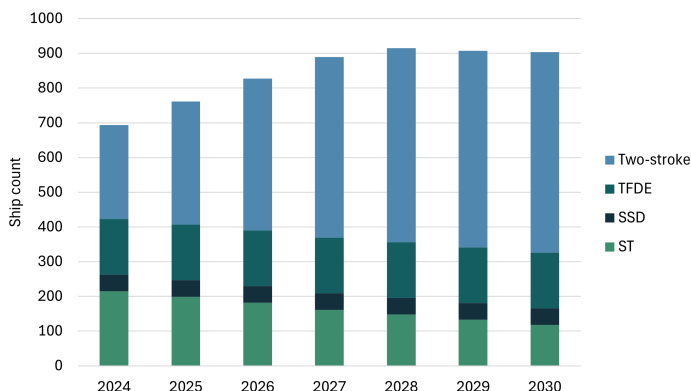
Orderbook by propulsion



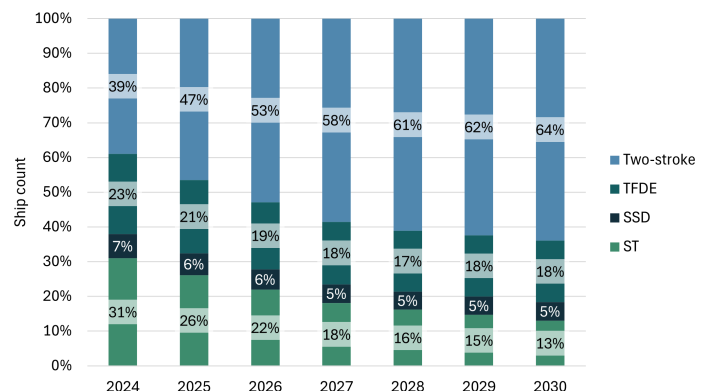
Orderbook by yard



Fleet composition by propulsion (end year, considering current orderbook and phase-out at 25 years)



Fleet composition by propulsion (end year, considering current orderbook and phase-out at 25 years)



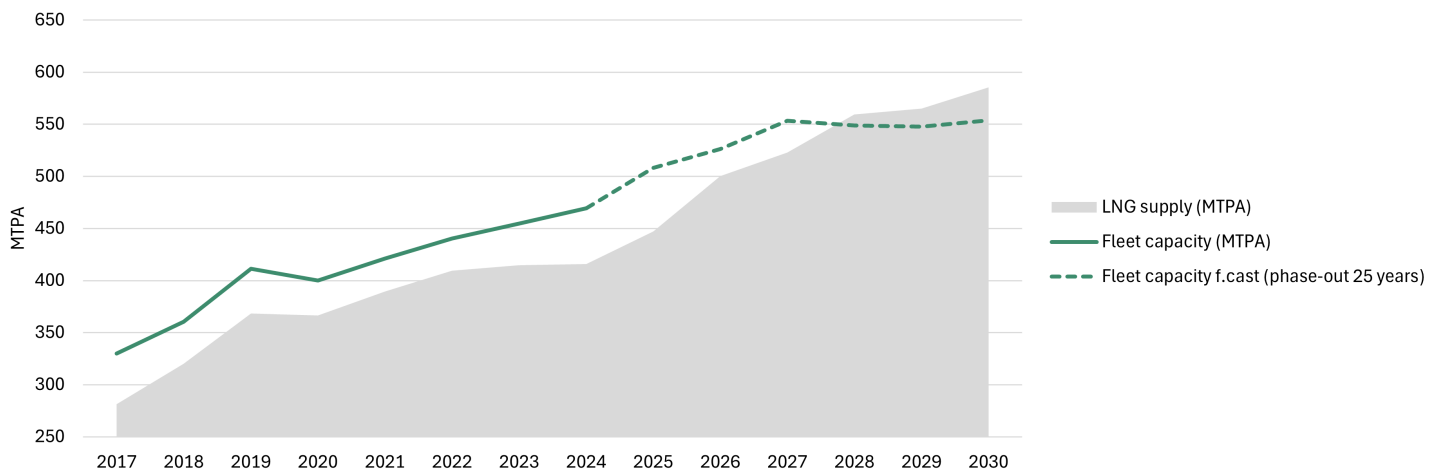
Outlook

The outlook for 2025 does not appear promising for disponent owners with excess length and independent owners with redelivering tonnage. While volume growth is expected from several projects in North America, as well as some volumes from Senegal and Australia, the majority of these volumes are expected towards the end of the year. Consequently, the 80-90 LNGC deliveries scheduled for next year will exacerbate the current oversupply until volume growth provides relief. Therefore, the fleet should be more than capable of handling inter-basin trade, floating cargoes, and closed canals, leading to another year of low charter rates.

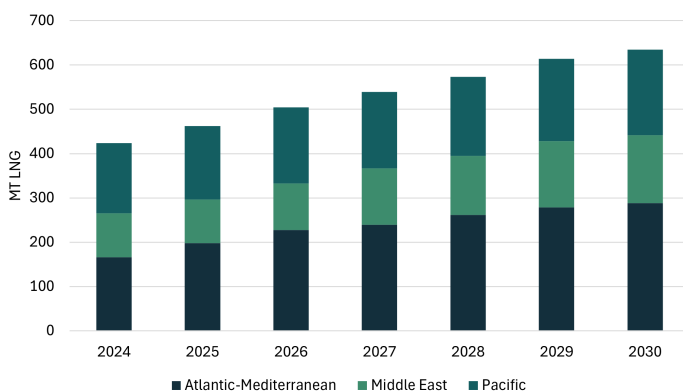
If current project schedules hold, the market should see some tightening towards the end of the year, but it is important to note that "some tightening" is far from tight. The orderbook is substantial enough to accommodate both distance and volume growth well into 2027. However, by 2028, more newbuilds will be needed due to significant growth in US volumes, increasing US to Asia trade, and fleet replacement resulting from increased scrapping activity over the coming years.

One might have expected the muted 2024 market to have led to more vessels being laid up and scrapped. Although not officially in layup, we note that around 15 LNGCs have exhibited slow speeds and limited draft developments over the past months. With further redeliveries expected in 2025 and a continued low charter market, we anticipate this trend to become more pronounced. While conservative owners may initially opt for layup, we believe the oldest steamers, nearing their 25-year drydock and smaller than 140k cbm, have limited life left as trading LNGCs. This will be an intriguing topic to follow throughout the year!

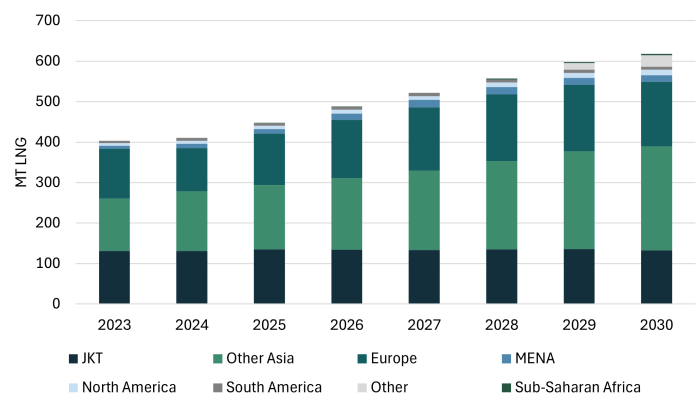
Fleet balance



LNG supply forecast by region



LNG demand forecast by region



Source: Supply/demand forecasts from S&P Global Platts



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